

QA Test Academy

5-Year Financial Overview for Board Review

Prepared March 27, 2026

 **Financial Outlook: The school's financial outlook is strong.**

7 health dimensions are in good standing.

In This Report

1. Financial Overview & Key Metrics
2. 5-Year Projection
3. What to Watch (Top Risks)
4. Cash & Runway Position
5. Recommended Next Steps

This summary is generated from the school's financial model for board discussion purposes.

Financial Outlook at a Glance

The school's financial outlook is strong. 7 health dimensions are in good standing.

 **Cash Position: Cash remains positive through the full 5-year projection**

Financial Overview

QA Test Academy projects \$749,127,660 in Year 5 revenue with a 98.1% profit margin. The model tells a strong financial story with 10 of 10 key metrics in healthy range, a great foundation for your mission. Cash flow remains positive over the full 5-year period.

- [~] Lender Readiness: Strong
- [~] Biggest Strength: Strong Year 5 profit
- [~] Biggest Risk: No facility location secured yet, so facility costs are estimated
- [~] Cash Runway: 60+ months

School Overview

QA Test Academy is a Startup / Pre-Opening Private School organized as a LLC (Single Member) with a Tuition-Based funding profile.

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 net income is projected at \$719.7M (96.1% margin).

- [+] Revenue per Student (Year 1): \$1,080,756
- [+] Cost per Student (Year 1): \$67,195
- [+] Staffing Cost (% of Revenue): 0.5%
- [+] Operating Cost (% of Revenue): 5.7%
- [+] Profit margin (Year 1): 93.8%
- [+] Profit margin (Year 5): 98.1%

5-Year Net Income Projection

Year	Students	Revenue	Expenses	Net Income	Margin
Year 1	90	\$97.3M	\$6.0M	\$91.2M	93.8%
Year 2	125	\$193.3M	\$10.1M	\$183.2M	94.8%
Year 3	160	\$329.9M	\$15.4M	\$314.6M	95.3%
Year 4	195	\$513.0M	\$21.8M	\$491.2M	95.8%
Year 5	230	\$749.1M	\$29.4M	\$719.7M	96.1%

Financial Health Assessment

Across 7 health dimensions: 7 healthy, 0 on watch, 0 at risk.

[+] viability: Healthy
 [+] liquidity: Healthy
 [+] staffing burden: Healthy
 [+] facility burden: Healthy
 [+] revenue concentration: Healthy
 [+] days cash: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches profit early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Healthy	Staffing at 1% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Healthy	Facility costs at 1% of revenue are well-managed and leave budget for programs.
Revenue Concentration	Healthy	Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand.
Days Cash	Healthy	5506 days of cash on hand exceeds the 90-day benchmark, providing a strong liquidity cushion.
Reserve Strength	Healthy	1511.6 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Strengths

The model demonstrates 5 notable strengths.

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What to Watch

The board should be aware of 2 key areas:

1. Enrollment growth needs demand evidence

Demand is the engine of your financial model. Every revenue line, staffing decision, and cost assumption depends on filling seats. If enrollment falls short, the entire model breaks downstream.

Action: Back every enrollment target with documented demand — signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.

2. Staffing costs growing faster than enrollment

Hiring ahead of demand locks in fixed costs before the revenue to support them arrives. If enrollment doesn't materialize as planned, staffing becomes an unsustainable burden.

Action: Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps.

Recommended Next Steps

1. Plan for Tuition Collection & Discount Risk

Private schools face collection risk from late payments, withdrawals, and financial aid shortfalls. With 99.9% of revenue from tuition, build a 5–10% bad debt reserve into your budget. Factor in tuition discount rates for merit/need-based aid and maintain clear enrollment contracts with payment terms.

This strengthens the model and reduces future risk.

2. Curriculum & Instructional Costs Are High

Instructional program costs average \$45,000 per student. Most schools target \$500–\$2,000 per student for curriculum, supplies, and assessments. Review whether premium curriculum is justified by your educational model and outcomes.

This strengthens the model and reduces future risk.

3. Secure Your Facility Location

Your model is based on an estimated facility budget. Once you have a signed lease or purchase agreement, update your model with actual numbers because real lease terms make your projections far more reliable.

Addressing this will materially improve financial position.